

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$26.88 ▲ 4.88%

12M Price Target
\$28.00

52-Week Range
\$10.30 – \$58.15

Market Cap
\$8.93B

RGTI: CHIPS Act Tailwind Offset by CEO Sale; Reiterate Hold

WHAT'S CHANGED

- Zacks confirms RGTI as potential beneficiary of \$100M U.S. quantum R&D backing (CHIPS Act vehicle), corroborated by parallel D-Wave/IBM foundry funding news — sector-wide federal capital flow validates investment narrative.
- CEO Subodh Kulkarni sold 61,000 shares at \$24.38 (\$1.49M) on 6/1, cluster insider activity flagged BEARISH despite stock rallying +4.88% to \$26.88 on heavy volume (73.7M shares).

IMPLICATIONS

The convergence of federal quantum funding headlines and the 108-qubit Ankaa-class launch reinforces RGTI's position as a top-3 pure-play quantum hardware vendor, but the CEO's open-market sale into strength tempers the signal quality of the rally. Options flow is decisively skewed (P/C 0.18) with aggressive \$30/\$34 June call accumulation suggesting retail-driven gamma chase rather than institutional conviction build, which historically precedes sharp mean-reversion in RGTI. Net: the thesis is intact but the entry is poor at 35% of 52-week range with shares trading at ~50x EV/forward revenue.

VALUATION

At \$8.93B market cap on ~\$18M FY26E revenue, RGTI trades at ~480x EV/sales — multiples that only make sense as a call option on quantum advantage commercialization, not a fundamentally anchored valuation. Our \$28 base PT applies a ~280x EV/FY27E revenue multiple, in line with IONQ but below peak-cycle quantum comps; bull case to \$50 requires CHIPS Act award confirmation plus a hyperscaler procurement contract. Multiple compression risk dominates if the Fed delays cuts or AI/quantum narrative fatigue sets in.

KEY RISKS

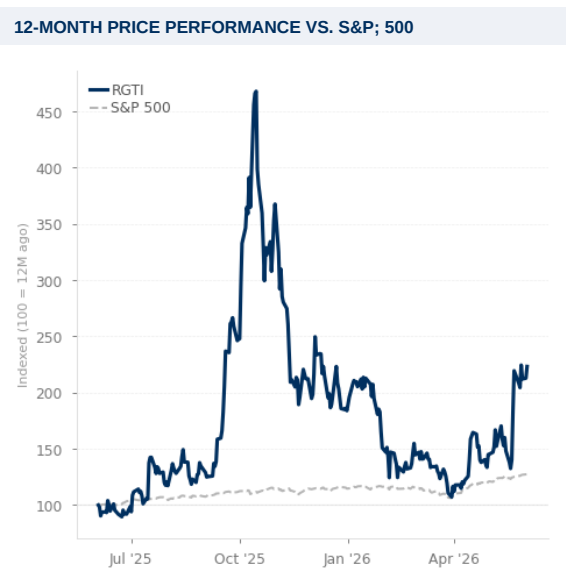
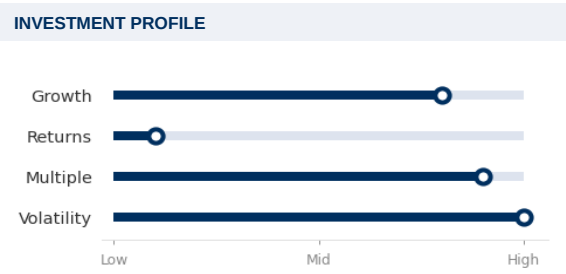
- Dilution risk: RGTI has historically funded operations via ATM equity issuance; any raise at current premium levels still meaningfully dilutes.
- Technical milestone slippage on the 108-qubit and follow-on roadmap would collapse the multiple given near-zero revenue support.
- Competitive displacement by IBM (Heron/Condor), Google (Willow), and IonQ's trapped-ion architecture in enterprise pilots.

RECENT NEWS

6 IPOs to Watch This Week Ahead of the SpaceX Main Event Barrons.com · 2026-06-02 18:20

D-Wave Seeks to Leverage IBM's Quantum Foundry. \$100 Million in Federal Funding Will Help. Barrons.com · 2026-06-02 17:50

Key Data	
Price (USD)	\$26.88
12M Price Target	\$28.00
Upside / (Downside)	+4.2%
Market Cap	\$8.93B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$32.00	\$27.00	\$22.00
6 Months	\$40.00	\$28.00	\$18.00
1 Year	\$50.00	\$30.00	\$15.00
2 Years	\$70.00	\$35.00	\$12.00
5 Years	\$120.00	\$55.00	\$8.00
10 Years	\$250.00	\$90.00	\$5.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+7.06% 5D), Utilities (rate-cut beneficiary)

COLD SECTORS: Real Estate (-2.73% 5D), Industrials (flat)

ROTATION WATCH: Tech leadership broadening into quantum/AI-infrastructure names as the market discounts a dovish Fed pivot and federal industrial policy capital deployment accelerates.

BYPRODUCT PLAY: Cryogenic cooling suppliers (Bluefors private; FormFactor/FORM public proxy), quantum-safe cryptography names (PQC plays), and dilution-refrigerator supply chain benefit regardless of which quantum architecture wins.

OUTPERFORMERS & PEER CONTEXT

- IONQ (IonQ Inc.): Trapped-ion leader has consolidated enterprise pilot wins with AWS/Azure and trades at relatively tighter EV/sales than RGTI on higher booked revenue.
- QBTS (D-Wave Quantum): Direct beneficiary of today's IBM foundry leverage news plus gate-model roadmap release — stealing narrative share from RGTI.

RGTI CONTEXT: RGTI is lagging the quantum cohort on news flow this week — D-Wave captured the IBM foundry headline and gate-model pivot story, while RGTI's contribution is derivative (sector-wide funding). At 35% of 52-week range vs. peers closer to mid-range, RGTI is the relative laggard despite today's bounce.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$20-22 on broader pullback

Time Horizon: 12-24 months

Thesis Invalidation: Loss of CHIPS Act funding, qubit roadmap slippage, or capital raise >15% dilution

Hedging: Pair long RGTI / short IONQ or basket quantum hedge